

Problem Statement: Hollywood's entertainment industry is experiencing a significant exodus from Southern California, resulting in decreased local production, widespread job losses, and economic decline for businesses and communities that have historically depended on the film industry. This shift threatens the economic foundation of Los Angeles County suburbs and represents a fundamental transformation of Hollywood's century-long presence as the core of American entertainment production.

Ranked from left to right with most significant being on the leftmost column

Causes [row 1]	Unionized strikes and labor disputes SAG-AFTRA strike and Writers' Guild of America (WGA) demands Rising labor costs and wage demands Work stoppages lasting combined six months	International tax incentives and lower production costs abroad Foreign countries offering generous tax rebates Germany and Czech Republic providing competitive incentives Looser qualification rules for international programs	Digitalization and streaming service transformation COVID-19 accelerated shift to digital platforms Industry consolidation reducing traditional production needs Technological changes restructuring work conditions	
Evidence [row 2]	Carras (LA Times): Local vendors "among the hardest hit during work stoppages" Barnes (NY Times): Mass layoffs across	Olsberg•SPI report: Steady increase in global film incentives, especially Europe Stevens & Sperling: Countries offer "rebates	Hennig-Thurau et al.: COVID-19 "accelerated transformation" to streaming Marx: Companies merging for "greater leverage	

	industry - Anonymous Content (8%), DreamWorks (4%), Starz (10%) Stevens & Sperling (NY Times): 18,000 full-time jobs lost in past three years	comparable to or larger than California's" Kilkenny (Hollywood Reporter): Only 51 films received CA tax credits despite \$750M incentive plan	against workers" FilmLA data: 22.4% decline in LA production (Q1 2025)	
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Impacts [row 3]	Massive job losses and unemployment 18,000 full-time jobs eliminated Industry-wide layoffs across multiple companies Reduced employment in prop houses and support services (as well as other sectors of the industry)	Economic decline of local businesses and communities Small businesses like Chili John's losing customers Prop houses struggling after COVID and strikes Suburban communities dependent on industry suffering	Geographical shift in production locations 22.4% decline in Greater LA production (Q1 2025) Increased filming in foreign locations Loss of California's competitive advantage	
Evidence [row 4]	Stevens & Sperling: "18,000 full-time jobs have	Jamerson (Marketplace): Chili John's owner	FilmLA: "On-location production in	

	evaporated in the past three years" Barnes: Multiple companies laying off staff (Anonymous Content 8%, DreamWorks 4%, Starz 10%)	notes "as long as entertainment industry is slow, all services are going to be slow" Carras: Prop houses "hardest hit during work stoppages"	Greater Los Angeles declined by -22.4 percent" Stevens & Sperling: General trend of productions moving overseas	
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Interventions [row 5]	California's \$750 million tax incentive plan Governor Gavin Newsom's response to competition Aimed at reviving Hollywood's presence in SoCal Provides tax credits for in-state production	Record film tax credit allocation 51 films receiving tax credits to shoot in California Estimated \$347 million in wages and \$578 million in economic activity California Film Commission initiative	Union negotiations and strike resolutions Addressing labor disputes through collective bargaining Attempting to balance worker demands with industry costs Establishing sustainable wage and working conditions	Studios restructuring business models for digital-first content Investment in streaming infrastructure and technology Creating content specifically for digital distribution rather than traditional theatrical release
C or I? [row 6] (Cause or Impact?)	CAUSE Directly addresses the “linchpin factor” of international tax competition Attempts to make California competitive with	CAUSE Addresses production cost concerns Provides direct financial incentive to film in California	CAUSE Addresses labor disputes and strike issues Attempts to resolve wage and working condition conflicts Targets the	CAUSE Addresses the digitalization transformation of the industry Attempts to work with rather than against technological

	foreign incentives Targets the economic disadvantage driving productions overseas	Targets the economic factors pushing productions abroad	underlying tensions between labor and management	change Targets the fundamental shift in content consumption and distribution
Advocates [row 7]	SF Chronicle: California lawmakers approve expansion to \$750 M, 51 films, 6,490 jobs https://www.sfchronicle.com/entertainment/article/california-film-tv-tax-credit-20397875.php Politico: "Gavin Newsom confronts his Hollywood problem" on doubling tax credit as #1 budget priority https://www.politico.com/news/2025/06/06/gavin-newsom-hollywood-film-industry-00391499 YouTube (Gov. Newsom Announcement): Gov. Newsom announces \$750 M film & TV tax credit https://www.youtube.com/watch?v=...	Gov.ca.gov press release: 48 new projects ⇒ \$664 M economic activity, 6,500 crew https://www.gov.ca.gov/2025/06/23/governor-newsom-announces-48-new-projects-to-film-in-california-thanks-to-the-states-film-television-tax-credit-program/ Film.ca.gov: CA Film Commission press release (same figures) https://film.ca.gov/california-film-commission-announces-48-new-projects-to-film-in-california-thanks-to-the-states-film-television-tax-credit-program/ SF Chronicle: Recap of 51 films, \$580 M in activity https://www.sfchronicle.com/entertainment/article/california-film-tv-tax-credit-20397875.php	SF Chronicle (above): Credits pushed by Entertainment Union Coalition, 6,490 cast/crew jobs—heavy union lobbying https://www.sfchronicle.com/entertainment/article/california-film-tv-tax-credit-20397875.php Politico (above): Mentions union/studio coalition behind the proposal https://www.politico.com/news/2025/06/06/gavin-newsom-hollywood-film-industry-00391499 CBS LA (above): Union leaders present at expansion signing https://www.cbsnews.com/losangeles/news/california-gov-gavin-newsom-announces-48-new-projects-to-film-in-california-thanks-to-the-states-film-television-tax-credit-program/	Washington Post / NY Post: Warner Bros. Discovery splitting into separate streaming-&-studio s vs cable networks https://nypost.com/2025/06/09/business/warner-bros-discovery-splits-into-2-separate-companies/ https://www.washingtonpost.com/business/2025/06/09/warner-brothers-discover-split/ HBR (2021): "Lessons from Hollywood's Digital Transformation" insights into piracy and digital shifts https://hbr.org/2021/12/lessons-from-hollywoods-digital-transformation Deloitte (2025): "2025 Digital Media Trends" –

	ube.com/watch?v=aKvRQsXL0x8 CBS LA: Newsom signs \$750 M expansion, with union and mayor presence https://www.cbsnews.com/losangeles/news/california-gov-gavin-newsom-film-tv-tax-credit/	ment/article/california-film-tv-tax-credit-20397875.php LA Times: “Record 51 films chosen...” analysis https://www.latimes.com/entertainment-arts/business/story/2025-03-19/a-record-51-films-chosen-for-california-film-and-tv-tax-credit-program	film-tv-tax-credit/	fragmentation, SVOD challenges, cost/margin issues for studios https://www.deloitte.com/us/en/insights/industry/technology/digital-media-trends-consumption-habits-survey/2025.html
Opponents [row 8]	USC expert testimony: Film tax credits don’t justify cost https://priceschool.usc.edu/news/expert-testimony-film-industry-incentives-dont-justify-the-cost/ CalMatters op-ed: Newsom’s film tax deal benefits corporations over working people https://calmatters.org/commentary/2024/10/newsom-taxpayer-subsidy-hollywood-production/ Production. Ink: Analysis of	LA Times (2014): Longstanding skepticism on film tax credit effectiveness https://www.latimes.com/entertainment/envelope/cotown/la-et-ct-fi-film-tax-credits-20140831-story.html Tax Foundation: Testimony against film production incentives https://taxfoundation.org/blog/film-production-incentives-game-california-shouldnt-play-testimony-california-	WSWS: Hollywood unions betray workers in favor of elite studio interests https://www.wsws.org/en/articles/2024/12/12/nuqod12.html	Time Magazine: Streaming wars usher in chaos, not stability https://time.com/6253697/streaming-wars-disney-chaos-era/ WSWS: Streaming-driven layoffs expose instability in Hollywood https://www.wsws.org/en/articles/2024/12/12/nuqod12.html

	Newsom's plan and its flaws https://www.production.ink/california-governor-gavin-newsoms-proposed-increase-in-film-tax-credits-actually-save-hollywood-2/	legislature/ Bloomberg Law: Film credits may not be the best path for California's media industry https://news.bloomberglaw.com/tax-insights-and-commentary/california-should-look-beyond-film-tax-credits-to-boost-industry		
What makes this intervention strong? What makes this intervention weak? [row 9]	This is a well-funded, high-profile attempt to keep film production in California. However, I'm skeptical of its cost-effectiveness. Research and op-eds suggest that while the incentives may bring back some jobs, they often fail to create long-term growth or stable employment. Much of the benefit goes to major studios rather than smaller businesses or	The allocation of film tax credits to 51 projects may generate substantial short-term economic activity, but like the previous intervention, the effectiveness is debatable. Critics argue the returns are inflated and fail to account for the temporary nature of the jobs created. Furthermore, the system often rewards large productions, reinforcing inequality within the entertainment industry. While it aligns with the value of preserving cultural heritage, it	This intervention has strong ethical and social values supporting fair wages and the working conditions resonate with the principles of justice and equity. While collective bargaining can be slow, it offers a sustainable path for addressing systemic labor issues in Hollywood. One challenge is the economic strain it can place on studios in the short term, especially smaller production companies. Still, the feasibility and make this a necessary and positive approach	Adapting to digital-first content reflects high feasibility and responsiveness to changing audience behavior. It aligns with technological innovation and evolving consumer demand. However, it can disrupt traditional business models, lead to mass layoffs, and reduce the diversity of content. This intervention often prioritizes profit over artistry, which may undermine the cultural significance of film. While effective in some metrics (like subscriptions), it risks hollowing out

	workers. From a values perspective, this intervention prioritizes industry prestige over broader equity. I'm also concerned about opportunity cost. \$750 million could instead go toward education, healthcare, or affordable housing.	may not represent the best use of state resources for long-term resilience.	overall.	the workforce and compromising long-term creative sustainability.
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